

Caris Life Sciences — a spectacular quarter wearing a governance discount

SECURITY CAI · Nasdaq · Jun-25 IPO	HELD 450 sh @ \$16.19	LIVE AT COURT \$22.74 (26-wk high)	UNREALIZED +40% (~\$2.9k)
VERDICT HOLD · trim ⅓ at base	COURT BANDS 15.5 / 25.5 / 31	STAGED #105 sell 150@25.50 · #102 150@31.50	DECISION GATE Q3 print · early Nov

Say the awkward part first. We bought this as a de-risked growth story near its lows, the thesis worked faster than modeled — and then our own fair-value anchor went stale in a single print. The re-rate court that fixed it split: the challenge bench said the market had already priced everything; the review bench caught the challenge bench using the wrong peer growth rates. The corrected answer lifted fair value ~9%, not to peer parity — because a governance discount this specific doesn't disappear on a good quarter.

PANE 1 · WHAT WE BELIEVE

The solvency question died; the growth is real; the discount is earned but finite

Caris IPO'd in June 2025 with going-concern doubt in its own S-1. That question is dead: four consecutive operating inflections, and the August 5 quarter printed \$263.7M revenue (+45%), gross margin 68% (+500bps), adjusted EBITDA \$55.7M, positive free cash flow, and a guidance *raise* to \$1.03–1.04B — the second raise this year, adding ~\$25M to the second half beyond banking the beat. The near-term catalyst stack (Assure blood-biopsy ramp at 10,700 cases, Detect launch) is funded. What remains between the price and the bull case is not the business — it's the register: a control-family pledge, an unremediated accounting weakness, and a fresh-IPO multiple debate.

BEAR · 4.0×

\$15.50

ASP-mix laps + pledge cascade

BASE · 6.5–7.0×

\$25.50

corrected-comp band, full
discount stack

BULL · 8.0×

\$31

requires MW cure or pledge
release

Court bands, 2026-08-08 adjudication – EV/sales on the raised \$1.035B guide, net cash
~\$0.39B, 282.6M shares.

PANE 2 · WHAT THE MARKET BELIEVES

Half the street's growth deserves half the street's multiple — minus the hair

At ~5.9× forward sales, Caris trades at roughly a third of Natera's and Guardant's multiples. The bear's version: the +45% is optical — reimbursement and mix, not volume (clinical cases grew +18%) — so durable growth is ~20%-class and the discount is the correct price for a controlled company (founder family 44.6%) with pledged stock and an accounting department its own former auditor walked away from. On this view the market has already run the court and priced its verdict.

PANE 3 · WHY WE MIGHT HAVE EDGE

The bear's comp math was wrong — by enough to matter

The review bench re-pulled the peers' actual guidance: Natera guides **+31% ex-true-ups** (not the +37% the bear used) and Guardant **+36–38%** — and the bear compared Caris's *volume* growth to the peers' *revenue* growth, an asymmetric test. Apples-to-apples, Caris guides 27.5% against peers' 31–38%: a ratio of ~0.8, not 0.5. Growth-adjusting the peer band gives ~13×; applying the *full* 25–35% governance discount still lands 8.5–10× — comfortably above the ~5.9× it trades at. The discount is deserved; its current depth is not.

Two more facts the bear missed: the ASP "lap" argument understates Assure — blood-biopsy mix grows *into* the number rather than lapping out of it; and the founder family bought \$990k of stock in the open market near the May lows, which does not look like a family preparing a pledge cascade.

PANE 4 · WHY IT MIGHT BE PRICED IN

The tape already moved, and the hair is real

The stock is +40% off the pre-print level in three sessions and sits at a 26-week high — chasing a re-rate into day-3 momentum is how good theses get bad cost bases. And the discount stack is not cosmetic: **25M founder-family shares (8.8% of the company) are pledged against personal debt** — a forced-sale channel that opens at higher prices; the **material weakness** (insufficient qualified accounting resources for complex transactions, per the fresh 10-Q) is still unremediated, the auditor change of 2024 was **company-initiated** (a tender EY lost to Deloitte — the prior record's “EY declined re-election” was wrong and is corrected here); and consensus sits at \$26.67 — barely above the court's own base. The re-rate case is for \$25.5, not \$31, until the register cleans up.

THE RECORD

What we checked ourselves

CLAIM TESTED	WHAT THE PRIMARY SOURCE SHOWED	RULING
Q2 print as marketed	Release + XBRL tie: rev \$263.7M (+45.4%), GM 68%, aEBITDA \$55.7M, GAAP net −\$0.6M, OCF +\$28.5M, guide raised to \$1.03–1.04B	CONFIRMED
"Growth is ASP, laps in 4 quarters"	Cases +18% vs revenue +45% confirmed — but 10,700 Assure cases inside the mix mean ASP <i>persists</i> as blood-biopsy share grows	PARTLY
"No unpriced re-rate left" (bear)	Bear used stale peer rates and compared volume-to-revenue; corrected ratio ~0.8 → 8.5–10× post-discount vs 5.9× traded	OVERTURNED
"Base FV below lowest street PT" (our own prior claim)	Time-basis conflation: Evercore's \$25 is a pre-print 12-month target ≈ \$23 spot-equivalent; BofA's pre-print \$23 sat below our old anchor	OUR ERROR

Insider selling into the pop	Primary 144s: Dir. George Poste, 20k noticed 8/3 <i>pre-print</i> (~\$16.25) + 30k on 8/7 (~\$21.42) — ~\$1M total via a Morgan Stanley program; notices, not executions. Founder-family director bought \$990k @ \$14.56 in May	HALF-RIGHT
Material weakness status	10-Q Item 4 + S-1 Item 304 verbatim: controls "not effective"; the MW = "incorrect application of GAAP" across several deficiencies; the 2024 auditor change was COMPANY-initiated (tender; no disagreements) — the "EY walked" framing is corrected	STANDS
Pledge cascade channel	Proxy (Apr-2026) verbatim: 25M shares in Halbert Family Capital LLC pledged for Mr. Halbert's personal debt — and NEW: the pledge grew from 1.66M (S-1, May-25) to 25M in nine months post-IPO	STANDS
Covered-call alternative at 25.5	Modeled ~\$1.00–1.30 on a ~6-wk 25.5C; at 450 shares = ~\$100–250 gross, ~\$75 net of tax — vs strike-capping the November bull branch and losing kill-trigger agility. Chain barely indexed at the broker	DECLINED

EXECUTION

The plan

\$25.50 #105 · SELL 150 · GTC	Trim a third at the court base — priced against the live structural overhangs (pledge + weakness), not against the growth. FIFO from the June \$16.46 lot; ~\$1,356 gain, short-term. If the November gate clears, this rung moves <i>up</i> before it fills.
\$31.50 #102 · SELL 150 · GTC	Ceiling at the bull band — a fill here means the register cleaned up or volume inflected; plausibly long-term by then (lots turn LT June 2027).
RETAIN 150 UNCAPPED	The rest rides the thesis. No adds at a 26-week high with a live sale notice ; the old \$15–16 add zone stands if the tape ever returns there with the thesis intact.
<\$16 CANCEL BOTH	Inside the add zone we are a buyer, not a seller. Standing kills: cash burn resumes · Halbert control event / pledge forced-sale · growth below the raised guide.

The November gate (pack CAI|2026-11-05): Q3 clinical volume >25% (growth turns volume-led) *or* weakness remediation / pledge release disclosed → the bull multiple case activates and the bands re-derive toward \$31. Miss → the ASP-lap thesis strengthens toward

the bear's \$23. Either way the 10-Q's Assure ASP disclosure — both benches' top residual gap — gets read first.

HONESTY SECTION

What remains unverified

The pledge's *current* status (the 25M-share figure is from the S-1/proxy; a release since would be the single most bullish quiet fact — check each new proxy). The Assure ASP split (10-Q segment detail unread by either bench — first read at the Q3 pack). The TTM-EPS puzzle (trailing \$0.37 vs a ~breakeven quarter implies one-time items undecomposed). And Detect's launch economics — the class benchmark for multi-cancer screening burns heavily; Caris discloses no Detect opex yet, so the FCF-positive claim is one scaling decision from re-testing.

SignalOS · held position record · entry court 2026-07-24 (de-risked add) → Q2 print graded 4/4
clean 2026-08-07 → re-rate court red 7/10 vs blue 7/10 → adjudicated 2026-08-08 (blue's corrected
bands)

Artifacts: CAI_COURT_RED_202608071910 · CAI_COURT_BLUE_202608080243 ·
edge_classifications/CAI.json (exit band + precisions) · pack CAI|2026-11-05 · instructions
#105/#102

Sources: Q2-26 release & 10-Q (Item 4 verbatim) · EDGAR Forms 144/4 (primary) · NTRA/GH guidance
(primary IR) · IBKR tape · desk evidence pack